

Discussion of “Accounting for Credibility: Fiscal-Monetary Interactions and the Credibility of Central Bank Mandates”

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The Paper

- A Sargent-Wallace economy where the government delegates monetary policy via an inflation target but may revoke it at a stochastic cost ξ
- Endogenous regime switching: monetary dominance (MD) vs. fiscal dominance (FD), with debt accumulation affecting transition probabilities
- Key identification:
 - ▶ **fundamental disinflation** ($\downarrow \theta$) $\Rightarrow$ inflation and debt both fall
 - ▶ **institutional disinflation** ($\uparrow \xi$) $\Rightarrow$ inflation falls but debt *rises*
- Application to Colombia, Chile, and the U.S.

My Discussion

- ① A simple model to build intuition for the paper's core mechanism
 - ▶ Why does credibility *raise* debt?
 - ▶ Why does the Markov government borrow *less* than under Ramsey?
- ② Quantitative comments
 - ▶ The benefit of inflation: seigniorage vs. nominal debt devaluation
 - ▶ The cost of inflation: area under the money demand curve vs. alternatives

A Simple Model: Setup

Government utility:

$$U = -\frac{\theta}{2}(\bar{B} - B)^2 - B(1 + \pi^e - \pi) - \frac{1}{2}\pi^2$$

- B : (nominal) debt; π : realised inflation; π^e : expected inflation
- θ : benefit of debt issuance (paper: marginal utility of spending)
- Real repayment $B(1 + \pi^e - \pi)$: higher inflation reduces the burden

Timing.

- 1 Period 1: B chosen; private sector forms π^e
- 2 Period 2: π chosen after B and π^e are known

Ramsey vs. Markov

Ramsey (commit to π ex ante): $B^R = \bar{B} - 1/\theta$, $\pi^R = 0$

Markov (no commitment): period-2 FOC:

$$B - \pi = 0 \implies \pi = B$$

Inflation bias **scales with debt**. The government anticipates this and internalises the inflation cost of borrowing:

$$\theta(\bar{B} - B) - 1 - B = 0 \implies B^M = \frac{\theta\bar{B} - 1}{\theta + 1} < B^R, \quad \pi^M = B^M$$

- No commitment $\Rightarrow$ *less debt* than Ramsey (and more inflation)
- (Same as in the paper, Appendix C)

Partial Commitment: Inflation Target

Announce $\bar{\pi}$; deviating costs ξ . In equilibrium $\pi^e = \bar{\pi}$ (paper richer, has shocks ex post)

IC: deviation payoff is $\frac{1}{2}B^2 - \xi$ (re-optimize to $\pi^{\text{dev}} = B$), so

$$\xi \geq \frac{1}{2}(B - \bar{\pi})^2 \quad \implies \quad \bar{\pi} = B - \sqrt{2\xi} \quad (\text{binding})$$

The IC depends on B : **higher debt raises the temptation to deviate** (same mechanism as Lemma 4 in the paper).

Equilibrium:

$$B^T = \frac{\theta \bar{B} - 1 + \sqrt{2\xi}}{\theta + 1}, \quad \pi^T = \frac{\theta(\bar{B} - \sqrt{2\xi}) - 1}{\theta + 1}$$

$\xi = 0 \Rightarrow$ Markov; $\xi \geq \frac{1}{2}(B^R)^2 \Rightarrow$ Ramsey.

Comparative Statics: the Paper's Key Predictions

	$\partial/\partial\theta$ (fiscal needs)	$\partial/\partial\xi$ (institutions)
B^T	+	+
π^T	+	-

- $\uparrow \theta$: government values debt more $\Rightarrow$ higher $B \Rightarrow$ IC binds at higher π (*fundamental*: debt and inflation move together)
- $\uparrow \xi$: commitment device strengthens $\Rightarrow$ lower π , but the relaxed IC lets the government **borrow more** (*institutional*: debt and inflation move in opposite directions)
- These are exactly the paper's two disinflation signatures

Comment: The Benefit of Inflation

- In the model, the benefit is devaluing money (so that you can print more of it)
- For the United States, it is mostly about devaluing **debt**
- As of December 2020:

	\$ trillion	% of GDP
Currency in circulation	2	$\approx 10\%$
Private holdings of public debt (mat > 1 yr)	≈ 12	$\approx 60\%$

Comment: The Cost of Inflation

- Cost arising from the Svensson (1985) timing
- Let us say that the cost applies to currency + checking accounts ($\approx 20\%$ of GDP)
- Assume log utility for money (generous upper bound)
- Implied cost of an extra 1% of inflation: $\approx .02\%$ of GDP
- **Yet people really seem to hate inflation.** Survey evidence (Shiller, 1997; Stantcheva, 2024)
- The loss of a *nominal anchor* is probably a bigger cost (Guerreiro et al., forthcoming *Econometrica*)

Bottom Line

- The model is **qualitatively** excellent: endogenous regime switching, comovement identification
- **Quantitatively**, would like to think of more important factors
- This **may** just affect the calibration and not the interpretation (but **maybe not**)